Suggested Answer

BUSINESS PLANNING: TAXATION & COMPLIANCE

November-December 2025

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Green Harvest PLC, a publicly listed agri-business conglomerate headquartered in Dhaka, operates across Bangladesh, Malaysia, and the UAE. Its core operations include agro-processing, seed research and development, and organic produce exports. For FY 2024–25, the company reported consolidated revenue of BDT 920 crore and received government subsidies under the Agri-Tech Innovation Scheme. However, the internal audit committee uncovered serious irregularities, which were allegedly suppressed by the Chair of the Board Audit Committee.

Key Issues Identified:

(i) Digital Revenue Diversion: Green Harvest launched a mobile application for direct-to-consumer sales. Approximately 28% of the revenue was routed through an undisclosed payment gateway in the UAE, effectively bypassing local income tax obligations.

(ii) Fraudulent R&D Tax Credit Claim: The company claimed BDT 15 crore in R&D tax credits for a seed development project that was never initiated. Internal communications revealed the project was fabricated solely to obtain tax deductions.

Requirement:

Identify the violations under each case as per the Income Tax Act 2023 and the ethical issues involved. 4

b) You are a Senior Tax Consultant at "Precision Advisory Services." Following the issuance of Special Order No. 01/2025 by the National Board of Revenue (NBR), online tax return filing has become mandatory for all natural persons for the Assessment Year 2025-2026, with limited exceptions. Your firm is currently in the process of migrating several High-Net-Worth Individuals (HNWIs) from manual filing to the e-Return portal.

During this transition, your team has encountered specific technical and regulatory complexities regarding registration, data synchronization and taxability of income, income reporting etc. They have escalated the following client-specific queries to you for technical guidance:

(1) **NRB Registration without Biometric SIM:** Mr. Anisul Haque, a Non-Resident Bangladeshi (NRB) residing in Toronto, Canada, intends to file his return to maintain his active tax status. He possesses a valid TIN but does not maintain an active biometric Bangladeshi SIM card, which is standard for receiving the registration OTP. Determine his eligibility for e-Return registration and outline the alternative "Special Registration" protocol he must follow.

(2) **Joint Investment Adjustment:** Mrs. Farhana holds a "Joint Sanchaypatra" with her husband. The e-Return system's "Sync from Income" feature pulls the aggregate interest income and total TDS associated with the investment ID from the government database. Explain the technical steps within the 'e-Return Ledger' to restrict her claim to her legal share (50%) and prevent an erroneous tax credit claim.

(3) **Cash Gift Reporting:** Mr. Rahim, a businessman, received a gift of BDT 500,000 in cash from his sister, which she sourced from her "Cash in Hand" disclosed in her own return. Advise on the taxability of this receipt in Mr. Rahim's hands and describe the specific navigation path to report this fund inflow in the e-Return portal.

(4) **Multiple Car Facilities:** The CEO of a local garment company is provided with two luxury cars (2000CC and 3000CC) by his employer for both official and personal use. Briefly explain the taxability of this benefit under the Income Tax Act, 2023, and describe how to report this "Non-Cash Benefit" in the 'Income from Employment' module of the portal.

(5) **Profile Data Correction:** Dr. Samina has successfully registered, but her e-Return profile incorrectly displays her gender as "Male" due to a legacy data entry error in the E-TIN database. As this field is non-editable in the profile, prescribe the technical workaround to rectify this error within the system.

Requirement:

Draft a Professional Memorandum to your team addressing these five specific queries with actionable technical steps and legal justification. **Marks: 2 + 2 + 2 + 2 + 2=10**

Answer to the Question# 1(a):

(i) Digital Revenue Diversion

- **Legal Violations:**
  - *Income Tax Act 2023 – Sections 230–242 (Prevention of Tax Evasion):* Concealment of income and use of offshore channels to evade tax.
  - *Section 112 (Digital Transactions Reporting):* Failure to disclose digital revenue streams through foreign gateways.
- **Ethical Issues:**
  - Intentional mis-representation of financial data.
  - Breach of fiduciary duty and lack of transparency.
  - Undermining national tax compliance frameworks.

(ii) Fraudulent R&D Tax Credit Claim

- **Legal Violations:**
  - *Income Tax Act 2023 – Sections 76–79 & Sixth Schedule:* Fraudulent claim of tax credits without eligible expenditure.
  - *Sections 310–326 (Criminal Offences and Justice):* Filing false returns and misrepresentation to tax authorities.
- **Ethical Issues:**
  - Deliberate falsification of corporate records.
  - Misuse of public funds intended for genuine innovation.
  - Erosion of stakeholder trust and regulatory integrity.

Answer to the Question# 1(b):

MEMORANDUM
To: Tax Compliance Team
From: Senior Tax Consultant
Date:
Subject: Technical & Compliance Guidance on e-Return Filing (AY 2025-26)

Regarding the Personal Income Tax Return filing in the e-Return portal, please find the technical resolutions for the escalated queries below:

(a) NRB Registration via Special Mechanism
Eligibility: Yes, Mr. Haque is eligible for e-filing. The lack of a biometric SIM is not a barrier him to file e-return.
Process: He must utilize the "e-Return Special Registration" facility:

1. **Application:** Send an email to e-return@etaxnbr.gov.bd.
2. **Required Data:** Subject line "Prayer for Special Registration," incorporating Name, TIN, Country of Residence, Foreign Mobile Number, and Date of Departure.
3. **Attachments:** Scanned copies of NID/Smart ID, Passport Bio-page, and Visa/Residence Permit.
4. **Activation:** Upon verification, NBR will send a registration link. The OTP will be sent to his e-mail instead of mobile phone.

(b) Adjusting Joint Sanchaypatra Data
The system defaults to 100% of the value linked to the TIN. To adjust for a joint holding:

1. Navigate to **Tax & Payment** > **Update Tax Payment Status** to open the **e-Return Ledger**.
2. Select *Claim Source Tax > Sanchaypatra > Sync from Income*.
3. The system will display **"TDS Available"** (Total Amount).
4. Locate the editable field **"TDS Claim"**. As per the manual, modify this figure to reflect only her portion **(50%)**.
5. Ensure the income figure in the "Income from Financial Assets" section is also manually adjusted to 50% if it auto-populated the total.

(c) Cash Gift Taxability & Reporting

Taxability: Gifts received from siblings (sister) are **exempt from tax** under 6th Schedule, Part 3 (Para 35) of the Income Tax Act, 2023, regardless of the mode (Cash/Bank), provided it should be reported in both donar and donnee's tax return.

Reporting in Portal:

1. Go to the **Assets & Liabilities** module.
2. Navigate to the **"Sources of Fund"** tab.
3. Select **"Other Receipts"** or **"Gift Received"**.
4. Enter the amount (5,00,000) and provide the sister's Name and TIN in the description field to establish the audit trail.

(d) Car Facility: Taxability & Reporting

Taxability: As per Section 33 of the Income Tax Act, 2023, the car facility is a taxable perquisite. There is no specific guideline in the law regarding additional perquisites for enjoying two cars. For 2000 CC car, BDT 20,000 per month and for 3000CC car, BDT 50,000 per month will be added in computing income from employment.

Reporting in Portal:

1. Go to **Income from Employment**.
2. Under **"Non-Cash Benefits"**, check the box for **"Vehicle Facility Provided"**.
3. The system may ask for vehicle details; enter the relevant values. The system will auto-calculate the taxable portion and add it to the total salary income for one car. Hence, for 2nd car, manual income need to be reported under the head of income from employment.

(e) Profile Gender Correction

The e-Return profile reads data directly from the NBR's central TIN database. To fix the display error:

1. Log in to Dr. Samina's account.
2. Go to the **Profile** section.
3. Click the **"Edit/Correct/Update"** button.
4. Select the **"Sync with TIN"** option.

Note: If the TIN database itself is incorrect, she must first submit a correction request at the Taxes Zone. Once updated there, the "Sync with TIN" button in e-Return will reflect the change immediately.

Best regards,

[Your Name]
Senior Tax Consultant

2 Mr. Jamil, 30 years old young IT expert and working as a System Engineer at ABC Limited PLC, one of the leading telecommunication companies in Bangladesh. During the income year 2024–2025, he received a total remuneration of BDT 83,21,044 from his employer. A detailed breakdown of his remuneration is as follows:

Particulars	**Amount in BDT**
Basic Salary	44,55,714
Entertainment Allowance	7,10,640
House Rent Allowance	8,68,560
Eid-ul-Fitre Bonus	3,87,299
Eid-ul-Azha Bonus	3,87,299
Incentive Bonus	10,65,960
PF Contribution by employer	4,45,572
Gross Salary	**83,21,044**

ABC Limited PLC deducted BDT 13,48,560 as tax at source from his salary during the year. The company maintains a recognized Provident Fund, and Mr. Jamil has made an equal PF contribution from his own income.

As part of his long-term financial planning, Mr. Jamil invested in a five-year Savings Certificate in June 2023. With the government's new requirement mandating online tax return filing for all individual taxpayers from the current assessment year, he has decided to file his return electronically without assistance from his existing lawyer.

While reviewing his previous year's tax return, Mr. Jamil noticed a significant omission that his residential flat in Bashundhara, purchased in November 2019 for BDT 75,00,000 was never included in his statement of assets and liability. The flat was financed entirely from the sale proceeds of an inherited land property located in Savar, which had been shown in his tax return for many years at zero/unknown value due to the absence of historical cost information. His tax lawyer at the time had intentionally advised him not to show the value of the inherited property and now suggests simply changing the description of the asset from "land property" to "house property" while continuing to declare it at zero value.

Uncomfortable and doubtful about the correctness of this advice—especially considering NBR's increasing scrutiny on asset declarations, inheritance documentation, and unexplained wealth—Mr. Jamil is concerned about potential non-compliance, risk of audit, and future tax complications. He now seeks your professional guidance to properly prepare and file his Income Tax Return for Assessment Year 2025–2026.

Requirements:

a) Based on the given remuneration details of Mr. Jamil, compute his taxable income from employment for the assessment year 2025–2026, and the tax liability. 5

b) Explain the correct tax treatment of the above inherited property with unknown value and subsequent acquisition of assets with inherited property sales proceeds. Discuss the implications of misstating or omitting asset values in the assets-liability statement under the Income Tax Act, 2023. 4

c) Considering that Mr. Jamil purchased a flat in Bashundhara in 2019 for BDT 75,00,000 using the sale proceeds of an inherited land property, explain the correct way forward to report this flat in his return and asset-liability statement, and compute the tax liability for Assessment Year 2025-2026. 5

Answer to the Question# 2(a):

Mr. Jamil
Assessment Year: 2025–2026

Computation of Income from Employment		BDT
Gross Salary		**83,21,044**
Less: Exempted (1/3rd of gross salary or 5,00,000, lower one)		(5,00,000)
Income from employment		**78,21,044**
Tax calculation		
Up to BDT 350,000	0%	-
Next BDT 400,000	10%	40,000
Next BDT 500,000	15%	75,000
Next BDT 500,000	20%	1,00,000
Next BDT 20,00,000	25%	5,00,000
Remaining BDT 39,71,044	30%	11,91,313
		19,11,313
Less: Investment tax credit, lower of:		
(a) 3% of income	2,34,631	
(b) 15% of actual investment [RPF contribution, BDT 4,45,572 x 2]	1,33,672	
(c) BDT 10,00,000	10,00,000	1,33,672
Tax comes after investment tax credit:		**17,77,642**
Less: Tax already deducted from salary		(-) 13,48,560
Net tax liabilities		**4,29,082**

Answer to the Question# 2(b):

Inheritance property is not taxable under the Income Tax Act, 2023 ("the Act"). An inherited asset may be recorded in the assets-liability statement at zero value, as its cost of acquisition is effectively nil. However, the sale of inherited property is taxable, being capital gain under the Act, and the full sale proceeds must be reported in the income computation as well as in the assets-liability statement. Accordingly, the flat purchased in Bashundhara Residential Area should also been included in the assets-liability statement at BDT 75,00,000, being its actual cost of acquisition in the assessment year 2019-2020.

Under section 67(3) of the Act, any receipt of fund in excess of the increase in net wealth or actual expenditure during an income year shall be classified under the deemed income from other sources and to be taxed at the regular rate. Furthermore, as per section 272 of the Act, if during any proceeding the income tax authority is satisfied that a person has furnished false particulars regarding income, assets, liabilities, expenses, or other relevant information for the current or earlier years with the intention of evading tax, a penalty equal to 10% of the concealed amount may be imposed for each year from the date of concealment until discovery.

The "amount of tax evaded" is defined as the tax that would have been payable had the correct information regarding income, assets, liabilities, expenses, or other important details been disclosed, reduced by the tax actually paid for that particular assessment year.

Answer to the Question# 2(c):

Mr. Jamil is required to voluntarily disclose the previously undisclosed income, paying tax on the total income including the voluntarily disclosed portion, and additionally pay penalty equivalent to 10% of the tax proportionate to the previously undisclosed income before submitting the return. He must submit the return within the statutory due date and submit a declaration mentioning the name, the source of income, the amount disclosed, and the tax and penalty paid on such previously undisclosed income.

There is no scope to show sales proceeds and capital gain on sale of inherited land as the assessment for that assessment year is over and cannot be revised now. Upon voluntary disclosure of the undisclosed flat at Bashundhara, the total tax (including penalty) payable by Mr. Jamil is as follows:

	BDT
Income from employment	78,21,044
Voluntary disclosing income u/s 24 read with 1st Schedule	75,00,000
	1,53,21,044
Tax on employment income	17,77,642
Tax on voluntary disclosure of income at highest slab 30%	22,50,000
	40,27,642
Penalty @ 10% on proportionate to undisclosed income [total tax x undisclosed income/total income x 10%]	1,97,162
Total tax payable including penalty	**42,24,804**

3. Chemical Paradise (BD) Limited is a 100% subsidiary of Paradise Group PTE, a company incorporated in Singapore. The principal activity of Chemical Paradise (BD) Limited is the manufacture and export of industrial chemical products.

The company operates a single factory located in the Meghna Economic Zone, which was established and commenced commercial operations on July 1, 2023. As an entity operating in an economic zone, the company is eligible for income tax exemption on its business income in the following manner:

- 1st year of operation: 100% exemption of business income
- 2nd year of operation: 50% exemption of business income
- 3rd year of operation: 25% exemption of business income

The company is also subject to source tax under section 123 of the Income Tax Act, 2023, which requires collection of tax at 1% on export proceeds received through banking channels. Additionally, the company is eligible for export cash subsidy as it exports products to new markets. The regular corporate tax rate applicable to the company is 25%.

The following is the Statement of Profit or Loss and Other Comprehensive Income of Chemical Paradise (BD) Limited for the year ended June 30, 2025.

Descriptions	**Amount in BDT**
Revenue	70,95,00,000
Cost of goods sold	(51,89,00,000)
Gross profit	**19,06,00,000**
Employee benefit expenses	(7,50,00,000)
General and administration expenses	(4,27,50,000)
Sales and marketing expenses	(4,32,00,000)
Operating profit	**2,96,50,000**
Other income	22,00,000
Profit before interest and tax	**3,18,50,000**
Finance expenses	(77,00,000)
Profit before tax	**2,41,50,000**
Income tax expenses	(70,95,000)
Profit after tax	**1,70,55,000**

Other information:

(1) Employee benefits include payment of excess perquisites to five (5) employees totaling BDT 5,00,000. Employee benefits also include payments to an unrecognized provident fund totaling BDT 12,50,000 during the income year.

(2) The company paid rent for its corporate headquarters located in a rented building in Narayanganj City Corporation amounting to BDT 3,00,000 per month. The company did not deduct tax at source from the rental payments for the months of January and February 2025.

(3) Other income includes BDT 12,00,000 received as export cash subsidy from the government, from which tax was deducted at 10%. The remaining portion of other income arose from the sale of waste chemical materials to a local company.

(4) General and administrative expenses include group expenses payments to its parent entity in Singapore amounting to BDT 27,00,000 for supports from the group. The entire amount was remitted during the year after deducting tax at source at 20%.

(5) Sale and marketing expenses includes entertainment expenses for BDT 12,50,000 for the year.

(6) A new machine was procured in December 2024 on three (3) months' credit for USD 2,00,000 and recorded in the books using an exchange rate of USD 1 = BDT 120. The company settled the foreign credit at an exchange rate of USD 1 = BDT 122. The foreign exchange loss was accounted for under the finance expenses. Whole amount of exchange losses was realized during the income year.

(7) The company applies the written down value (WDV) method for depreciation of its assets. At year-end, the written down value of capital machinery was BDT 5,00,00,000; furniture and fixtures BDT 1,50,00,000; and IT assets BDT 55,00,000. The applicable depreciation rates are 20% for capital machinery, 10% for furniture and fixtures, and 20% for IT assets, which align with the tax depreciation rates prescribed in the Third Schedule of the Income Tax Act.

(8) All revenue has been realized during the income year.

(9) The company is going to distribute dividends to its shareholders at the rate of 40% of the face value of each share. Out of the total 3,00,000 shares, 2,99,000 shares are owned by its parent entity domiciled and tax resident in Singapore, while the remaining 1,000 shares belong to Mr. Park, a Singaporean national. The face value of each share is BDT 100.

Requirements:

a) Compute the taxable income of Chemical Paradise (BD) Limited for the income year ended June 30, 2025. 8

b) Compute the tax liability and tax payable to be reported in the income tax return for the income year ended June 30, 2025. 4

c) Chemical Paradise (BD) Limited deducted tax at source at the rate of 20% while remitting intra-group expenses of BDT 27,00,000 to its group entity. Since the group company does not have TIN and does not submit tax returns in Bangladesh, the accountant deposited the deducted tax in favour of Chemical Paradise (BD) Limited and claimed the deducted tax as a credit against the tax liability of Chemical Paradise (BD) Limited. Comment on the correctness of the accountant's actions. 3

d) Compute the withholding tax on dividend and suggest application of the provision of Bangladesh–Singapore Double Taxation Agreement (DTA) to minimize tax exposure, including the procedures for obtaining treaty benefits. 3

Answer to the Question# 3(a):

Chemical Paradise (BD) Limited **Computation of total income for AY 2025-26**		**BDT**
Net profit before tax		2,41,50,000
Less: Other income [for consideration at appropriate head]		22,00,000
Shown business income		**2,19,50,000**
Add: Expenses to be considered separately		
Accounting Depreciation [Note-1]	1,26,00,000	
Inter-group expenses [Note-2]	27,00,000	
Entertainment	12,50,000	1,65,50,000
		3,85,00,000
Add: Inadmissible expenses		
Excess perquisites as per section 55(gha)	5,00,000	
Payment to un-recognized PF as per section 55(pa)	12,50,000	
2 months' rent without TDS as per section 55(ka)	6,00,000	23,50,000
Less: Admissible expenses		
Tax Depreciation [Note-1]	1,26,00,000	
Inter-group expenses [Note-2] allowable as per sec.55(cha)	21,95,000	(1,47,95,000)
Income from the business before considering entertainment		**2,81,55,000**
Less: Admissible entertainment expenses [Note-3]		(5,83,100)
Income from the business after considering entertainment		**2,75,71,900**
Less: Special business income u/s 56		
Excess perquisites	5,00,000	
Payment to un-recognized PF	12,50,000	
Payment of rent without deducting TDS	6,00,000	
Excess intra-group expenses	5,05,000	
Excess entertainment expenses	6,66,900	(35,21,900)
Income from business other than income u/s 56		**2,40,50,000**
Special business income u/s 56		**35,21,900**
Other income from wastage sales (Note-4)		10,00,000
Export cash subsidy (Note-4)		12,00,000
Total income		**2,97,71,900**

Note-1: Depreciation

Accounting Depreciation

Capital Machinery	5,00,00,000	20%	1,00,00,000
Furniture and Fixture	1,50,00,000	10%	15,00,000
IT Assets	55,00,000	20%	11,00,000
			1,26,00,000

Tax Depreciation and accounting depreciation is same as the rate of depreciation aligns with the 3rd Schedule of ITA,2023 as mentioned in the question, although we know that as per 3rd schedule the rate of depreciation on machinery is 10% not 20% and rate of depreciation on IT asset is 25% not 20%.

Note-2: Intra-group expenses

Net business profit disclosed	2,19,50,000
Allowable limit as per section 55(cha)	10%

Allowable amount			**21,95,000**

Note-3: Entertainment expenses

4% on BDT 10,00,000 profit	10,00,000	4%	40,000
2% on remaining profit	2,71,55,000	2%	5,43,100
			5,83,100

Note-4: Other income

As per Financial Statement	22,00,000
Export cash subsidy	12,00,000
Wastage chemical sale	10,00,000

Note 5: As tax was properly deducted from group expense payment Tk. 27,00,000 and as it is business related expenditure, so nothing is added back here.

Note 6: Exchange fluctuation loss Tk. 2,00,000 x 2 = Tk.4,00,000 is allowable expenditure as per section 49(fa), so nothing is added back here

Answer to the Question# 3(b):

Chemical Paradise (BD) Limited
Tax Computation for AY 2025-26

	Rate	Income	Tax Liability
Income from sources of minimum tax applied u/s 163(2)			
[a] Income from sources where minimum tax u/s 163(2) applies [50% tax exemption due to 2nd year of operation]	12.5%	2,40,50,000	30,06,250
[b] Minimum tax [AIT on export proceeds] [Note-1]			70,95,000
Higher of [a] & [b]			70,95,000
Tax on other income from wastage sales	25%	10,00,000	2,50,000
Tax on export cash subsidy [Final tax]	10%	12,00,000	1,20,000
[1] Total tax other than special business income u/s 56			74,65,000
[2] Minimum tax on gross receipts u/s 163(5) [Note-2]			35,69,500
Higher of [1] & [2]			**74,65,000**
Special business income u/s 56 reduced tax rate [Note 3]	12.5%	29,21,900	3,65,338
Special business income u/s 56 regular tax rate [Note 3]	25%	6,00,000	1,50,000
Total tax liabilities			79,80,238
Less: AIT/ Source tax:			
Tax deducted at source u/s 123 (export)			(70,95,000)
Tax deducted at source u/s 112 (cash subsidy)			(1,20,000)
Net tax payable for the year			**7,65,238**

Note-1: Advance Tax Paid

Tax on Cash subsidy	12,00,000	10%	1,20,000
AIT on export proceeds	70,95,00,000	1%	70,95,000

Note-2: Minimum tax u/s 163(5)

Export sales (12.5%/25% x 1%)	70,95,00,000	0.50%	35,47,500
Cash subsidy	12,00,000	1%	12,000
Other income from wastage sales	10,00,000	1%	10,000

Total	**71,17,00,000**	**35,69,500**

Note 3: Allocation of special business income u/s 56

Income subject to reduced tax:	
Excess perquisites	5,00,000
Payment to un-recognized PF	12,50,000
Excess intra-group expenses	5,05,000
Excess entertainment expenses	6,66,900
	29,21,900
Income subject to regular rated tax:	
Payment of rent without TDS	6,00,000

As per section 56, reduced rated entity shall pay tax at regular tax rate on the special business income for the disallowances u/s 55, except disallowances u/s 55(a) where reduced tax rate would be applicable.

Note 4: As per SRO no. 210 dated 26/6/2023, reduced tax rate of 100% export oriented industry is 10% for LEED certified factory or 12% for other factory. Though it is 100% export oriented industry but as tax rate 25% is given in the question, so I have no choice other than applying tax rate given in the question.

Answer to the Question# 3(c):

The accountant's action is not correct and not supported by the Income Tax Act, 2023. Tax deducted at source must always be deposited in the name of the person to whom the payment is made, as the deduction is considered to be made from that person's income. In this case, the TDS arose on a payment made to the foreign group entity, and therefore the tax should have been deposited in favour of that entity, even if it does not have a TIN or does not file a return in Bangladesh.

By depositing the TDS under the TIN of Chemical Paradise (BD) Limited and claiming the amount as a credit against its own tax liability, the accountant has violated the principle that TDS credit belongs exclusively to the income recipient. This results in an improper reduction of the company's tax liability and may be viewed by the tax authority as non-compliance or misrepresentation and thus the claim is likely to be disallowed.

Answer to the Question# 3(d):

Under the Bangladesh-Singapore Double Taxation Avoidance Agreement (DTAA), a resident of Singapore receiving dividends from a Bangladeshi company may benefit from a reduced withholding tax rate of 15% on the gross dividend income, instead of the standard rate of 20%. For instance, if the total dividend payable is BDT 1,20,00,000, the tax payable under the DTAA would be BDT 18,00,000, leaving a net dividend of BDT 1,02,00,000 for the Singapore resident. However, it is important to note that DTAA benefits are not automatic.

To avail the reduced rate, the Singapore resident must provide a Tax Residency Certificate (TRC) issued by the Singapore tax authorities and apply to the National Board of Revenue (NBR) in Bangladesh for an exemption or reduced-rate tax deduction certificate along with other documents. The Bangladeshi company is required to deduct tax at the standard domestic rate if such a certificate is not obtained.

4. Bengal Ceramics PLC is a reputed manufacturer of premium porcelain tableware in Bangladesh. During the Financial Year 2024-25, it exported a consignment of "Royal Grade Dinner Sets" to its parent company, Lyon Home Goods S.A., located in France.

The export price agreed upon between related parties was USD 30 per dinner set. During the year, Bengal Ceramics exported 15,000 sets to French parent company. The applicable exchange rate is USD 1 = BDT 120.

To determine the arm's length price, the company has provided the cost data for a similar dinner set sold in the local Bangladesh market to unrelated third-party retailers:

Particulars	Figures in BDT (Per Set)
Direct Materials (Clay & Glaze)	1,800
Direct Labor	600
Factory Overhead	500
Share of Administrative Overhead	400
Share of Local Marketing & Showroom Expense	500
Total Cost per Unit	3,800
Selling Price (Local)	4,560

Additional Information regarding the Export to France:

(i) **Marketing Expense:** Since the parent company (Lyon Home Goods) handles its own branding in Europe, the "Local Marketing & Showroom Expense" of BDT 500 incurred for local sales is not applicable to the export units.

(ii) **Special Packaging:** To prevent breakage during sea transit, the export units require reinforced 5-ply packaging, which costs an additional BDT 300 per set.

(iii) **Freight & Insurance:** The terms of the export are CIF (Marseille Port). Bengal Ceramics incurred freight and insurance costs of BDT 600 per set (this cost is not applicable to local sales).

(iv) **Design Royalty:** For the export production, a specific design mold was used, for which a third-party royalty of BDT 100 per set was paid (this is not applicable to local sales).

Requirements:

Considering the Transactional Net Margin Method (TNMM):

a) Determine the appropriate Arm's Length Price (ALP) per set in BDT for the export to France. 5

b) Calculate the total Transfer Pricing Adjustment (if any) for the Assessment Year 2025-26. 2

c) Calculate the additional tax exposure assuming the applicable corporate tax rate is 27.5%. 1

Answer to the Question# 4(a):

Determination of Profit Margin on Local Sales (Comparable Uncontrolled Transaction)

First, calculate the profit percentage earned on cost from sales to unrelated local parties.

- Selling Price (Local): BDT 4,560
- Total Cost (Local): BDT 3,800
- Profit: BDT 4,560 – BDT 3,800 = BDT 760

Profit Margin on Cost = Profit/ Total Cost X 100
=760/3,800 x 100
=20%

Determination of the Adjusted Cost Base for the Export:

Adjust the cost of the export product by removing local-specific costs and adding export-specific costs.

Particulars	**Calculation**	**Amount (BDT)**
Base Cost (Derived from Local)	(1,800+600+500+400+500)	3,800
Less: Local Marketing & Showroom	Not incurred for parent company	(500)
Add: Special Export Packaging	Extra material cost	+ 300
Add: Freight & Insurance (CIF)	Extra logistics cost	+ 600
Add: Design Royalty	Third-party cost for export	+ 100
Total Adjusted Cost per Export Set		4,300

Calculation the Arm's Length Price (ALP)

Apply the local profit margin (20%) to the *Adjusted Export Cost*.

- ALP = Adjusted Cost × (1 + Profit Margin)
- ALP = 4,300 × (1 + 20%)
- ALP = 4,300 × 1.20
- ALP = BDT 5,160 per set

Comparison with Actual Export Price

- Actual Export Price (BDT): USD 30 × 120 = BDT 3,600
- Arm's Length Price (ALP): BDT 5,160

The company sold the goods to its French parent at BDT 3,600, while the fair price (ALP) should have been BDT 5,160. This results in under-invoicing and shifting profits out of Bangladesh.

Answer to the Question# 4(b):

Calculation of Total Transfer Pricing Adjustment

- Shortfall per unit: 5,160 – 3,600 = BDT 1,560
- Total Units Exported: 15,000 sets
- Total TP Adjustment: 15,000 × 1,560 = BDT 23,400,000 (2 Crore 34 Lakh)

Answer to the Question# 4(c):

Calculation of Additional Tax Liability

- Total Income Adjustment: BDT 23,400,000
- Corporate Tax Rate: 27.5%

Additional Tax Payable: 23,400,000 × 27.5% = BDT 6,435,000

5. Robotics Scanner (China) Limited, a China-based technology company specializing in advanced security equipment, was awarded a project contract in 2020 by the Civil Aviation Authority of Bangladesh (CAAB). The project involves the supply and installation of state-of-the-art scanners at the Third Terminal of Dhaka Airport, designed to detect smuggled goods, particularly gold carried internally by individuals or in converted forms. Under the terms of the contract:

(i) **Supply of Scanners:** The scanners were manufactured in China and supplied under letters of credit issued by the CAAB. All import duties and taxes associated with the scanners are borne by the CAAB, which is recognized as the owner of the imported equipment.

(ii) **Branch Office and Infrastructure Works:** Robotics Scanner (China) Limited established a branch office in Bangladesh to oversee the construction and infrastructure required for installing the scanners. This included civil and electrical works necessary for setting up the equipment.

(iii) **Project Value and Payment Structure:** USD 12,00,000 payable directly to Robotics Scanner (China) Limited's bank account in China for the supply of scanners, and BDT 9,00,00,000 payable to the branch office in Bangladesh for building infrastructure to install three scanners. Payment for each completed infrastructure is due 90 days after invoicing. VAT at reduced rate and income tax will be deducted at source by CAAB.

On July 30, 2025, the company completed one infrastructure project and issued an invoice of BDT 3,00,00,000 (plus VAT). A Mushok 6.3 was submitted along with the invoice. Despite this, Robotics Scanner (China) Limited intends not to pay VAT, intending to report VAT after receiving payment from CAAB. The branch office has been filing VAT returns regularly since registration but has not paid VAT on supplies.

Requirements:

a) Robotics Scanner (China) Limited issued an invoice of BDT 3,00,00,000 for infrastructure works completed at Dhaka Airport and submitted Mushok 6.3. Discuss whether VAT is payable on the infrastructure supply by the branch office in Bangladesh, what would be the rate of VAT and process of paying off VAT by the branch, if it is payable. 5

b) Under the contract, the scanners were imported from China, with all import duties and taxes borne by CAAB, which owns the scanners. Examine whether the imported scanners attract VAT for Robotics Scanner (China) Limited in Bangladesh. If yes, would Robotics Scanner (China) Limited Bangladesh branch office can obtain input tax credit. 4

c) Robotics Scanner (China) Limited has been filing VAT returns without paying any VAT on its supplies. Critically analyse the position taken by Robotics Scanner (China) Limited, compliance risks and potential penalties under Bangladesh VAT law. 4

Answer to the Question# 5(a):

Robotics Scanner (China) Limited's branch office in Bangladesh, having carried out the construction and installation of infrastructure for the scanners at Dhaka Airport, is considered a local supplier of services under the Bangladesh VAT & SD Act, 2012. The branch office is registered for VAT in Bangladesh, and the supply of infrastructure constitutes a taxable service provided within

Bangladesh, irrespective of the foreign parent company's involvement. Therefore, VAT is payable on the invoiced amount of BDT 3,00,00,000.

In processing the invoice, CAAB will apply 7.5% VAT on the contract value (the current VAT rate on construction is 10%, with an exception for project contracts awarded on or before June 30, 2025, where the rate is 7.5%) and will deduct the VAT amount while making the payment.

Since Mushok 6.3 was issued on July 30, 2025, the branch office must deposit the VAT amount with the VAT return by August 15, 2025. Payment should not be deferred until receipt from CAAB, the obligation to pay VAT arises at the time of supply, and failure to pay may attract penalties and interest. After receiving payment and proof of VAT deducted by CAAB, Robotics Scanner (China) Limited's branch office may take a decreasing adjustment through the return.

Answer to the Question# 5(b):

The scanners imported from China by Robotics Scanner (China) Limited for the Dhaka Airport project are considered imported goods supplied under a government contract, with all import duties and taxes borne by CAAB, which is recognized as the owner of the imported equipment.

Since the branch office in Bangladesh does not take ownership of the goods and acts only as a facilitator for the installation, no VAT is payable by the branch office on the imported scanners. Therefore, the imported scanners do not constitute a taxable supply for the branch. Additionally, because the branch office neither pays import VAT nor takes ownership, it is not entitled to claim input tax credit on the imported scanners. The VAT credit mechanism is available only when the registered entity has paid VAT on taxable inputs used for making taxable supplies, which is not the case here as CAAB directly bears the import duty and tax including VAT.

Answer to the Question# 5(c):

Robotics Scanner (China) Limited has been filing VAT returns without paying VAT on its supplies, including infrastructure works. This practice does not comply with the VAT & SD Act, 2012, as submitting VAT returns without paying the tax due is treated as non-payment of VAT. Under the Act, this exposes the branch office to significant compliance risks, including the payment of VAT, interest on unpaid VAT, and penalties.

Section 85 of the VAT & SD Act provides that a registered person who fails to mention output tax in the return may be liable to a penalty ranging from a minimum of 50% to a maximum of 100% of the missing output VAT. Further, as per Section 127 of the Act, for failure to pay tax by the due date, the branch office shall be liable to pay interest at a simple rate of 1% per month on the unpaid amount from the day after the due date until the payment is made, with a maximum limit of 24 months.

6. a) ABC Bangladesh Ltd., a wholly owned subsidiary of GlobalTech IP Holdings PLC (registered in Italy), commenced commercial operations in Bangladesh during FY 2024. GlobalTech IP Holdings PLC, as the brand and IP owner, charges a royalty fee of 5% on the turnover of its Bangladesh subsidiary for use of proprietary trademarks, patents, and trade secrets.

FY 2024 Financials (ABC Bangladesh Ltd.):

- Turnover: BDT 200 million
- Royalty Payable: BDT 10 million (5% of turnover)
- Payment Details: Royalty remitted in 2025, post-income-tax-return filing and following BIDA approval.

Under Section 2(58) and Section 15 of the VAT & SD Act, 2012, royalty payments to non-residents for IP usage are categorized as imported services, attracting VAT at 15%. Accordingly, ABC Bangladesh Ltd. withheld and remitted BDT 1.5 million as VAT (15% on BDT 10 million).

In its VAT return, the company treated the payment as follows:

- Output VAT: BDT 1.5 million
- Input VAT: BDT 1.5 million
- Treasury Deposit: BDT 1.5 million

Subsequently, the VAT Authority issued a show cause notice, contending that ABC Bangladesh Ltd. effectively claimed double VAT credit, once via input VAT and again via treasury deposit and directed the company to (a) respond within 7 working days, or (b) refund the purported excess credit.

Requirement:

Assess the case and develop a strategic response to defend ABC Bangladesh Ltd in compliance with the VAT and Supplementary Duty Act, 2012. 5

b) "Star Limited" is a prominent manufacturing company engaged solely in the production of MS Products, specifically Rods and Bars (HS code 72.13), for which a specific tax rate is prescribed. The company is registered under the Value Added Tax and Supplementary Duty Act, 2012.

For the month of October 2025, Star Limited provides you with the following operational data:

Purchases/Inputs (All amounts exclude VAT unless specified, and proper Mushak-6.3 documents are available where required):

(1) **Rerollable Scrap Iron (Main Raw Material):** Imported 5,000 metric tons at BDT 50,000 per metric ton. VAT paid was BDT 7,500 per metric ton, and Advance Tax paid was BDT 1,000 per metric ton.

(2) **Electricity Charges: BDT 1,000,000 (excluding VAT).** The electricity provider, "PowerGrid Company," is VAT registered and charged VAT @ 5%. A valid Mushak 6.3 invoice was issued.

(3) **Furnace Oil:** 20,000 liters at BDT 100 per liter (excluding VAT). The supplier, "Energy Fuels Ltd.," is VAT registered and charged VAT @ 10% as a "procurement provider". A valid Mushak 6.3 invoice was issued.

(4) **Machinery Spare Parts:** BDT 300,000 (excluding VAT). The supplier, "Industrial Spares Co.," is VAT registered and charged standard-rated VAT @ 15%. A valid Mushak 6.3 invoice was issued.

(5) **Audit & Advisory Services:** BDT 150,000 (excluding VAT). Paid to "ABC Bangladesh" for compliance advisory. ABC Bangladesh is VAT registered and charged standard-rated VAT @ 15%. A valid Mushak 6.3 invoice was issued.

(6) **VAT on Head Office Rent:** Paid BDT 2,00,000 for its head office premises (separate from factory premises). BDT 30,000 was paid as VAT on this office rent, for which a treasury challan is available with the company.

Production & Sales (All output is MS Rods and Bars):

1. **Total Production for October 2025:** 5,000 metric tons.
2. **Sales during October 2025:**
   - **Local Sales to Distributors:** 4,000 metric tons at a gross price (including all taxes) of BDT 70,000 per metric ton. Star Limited is currently applying the specific tax of BDT 1,700 per metric ton on these sales, as per the Third Schedule.
   - **Export Sales:** 500 metric tons to "Global Traders Inc." (an overseas buyer). The agreed export price was BDT 65,000 per metric ton. Proper export documentation is maintained.

Strategic Dilemma:

The management of Star Limited is aware that while the specific tax of BDT 1,700 per metric ton keeps their product price competitive, it might affect their ability to claim input tax credit. They are considering exercising the option under Section 15(3) of the VAT and SD Act, 2012, to charge standard-rated VAT @ 15% on their output instead of the specific tax.

Requirements:

i) Calculate the **Output VAT/Specific Tax payable** by Star Limited for October 2025, strictly based on their current practice of applying the specific tax as per the Third Schedule for local sales and considering export rules. 4

ii) Based on **Section 46(1)(f) and other relevant provisions** of the VAT Act, state whether Star Limited can claim Input Tax Credit for October 2025 under its current practice. Justify your answer with clear reasoning. 2

iii) If Star Limited decides to exercise the option under Section 15(3) and charge standard-rated VAT @ 15% on its local sales instead of the specific tax, recalculate their Net VAT Payable/Refundable for October 2025. Assume the local sales value (including VAT) remains BDT 70,000 per metric ton for this calculation. *For all calculations in this requirement, ignore any VAT deduction at source (VDS) liability on payments made by Star Limited, as there was no payment during the month other than the Head Office rent.* 6

Answer to the Question# 6(a):

Response to VAT Authority

Date:
Dear Sir/Madam,

Subject: Clarification on VAT Treatment of Royalty Payment to Non-Resident under VAT & SD Act, 2012

With reference to your show cause notice regarding the VAT return filed for the royalty payment made to GlobalTech IP Holdings PLC, we respectfully submit the following clarification:

1. **Nature of Transaction**:
   The royalty payment made to GlobalTech IP Holdings PLC qualifies as an **imported service** under section 2(17) of the VAT & SD Act, 2012. As per Section 15(3), such services are subject to VAT at 15%.

2. **VAT Payment and Reporting**:
   In compliance with section 16 and section 20 of the Act, ABC Bangladesh Ltd. deposited BDT 1.5 million to the government treasury as VAT on the imported service. This amount was reported as:
   - **Output VAT**: As per Mushak-9.1, reflecting the VAT liability on the imported service.
   - **Input VAT**: As per treasury challan, claiming credit for the VAT paid on the imported service, which is allowable under Section 46 of the Act.

3. **Treasury Deposit vs. Input VAT**:
   The **Treasury Deposit** is the actual payment of VAT made to the government. In this case it was deposited on behalf of the Service Provider. The **Input VAT** is the credit claimed against this payment as per the law. These are not two separate claims but two sides of the same transaction. The deposit substantiates the input tax credit claim and is not a duplicate entry.

4. **Legal Basis for Input VAT Credit**:
   Section 46 of the VAT & SD Act, 2012 allows a registered person to claim input tax credit on VAT paid for imported services used in economic activities, subject to ensure other compliances. The royalty paid is directly linked to the business operations and brand usage, qualifying for input tax credit.

5. **No Excess Credit Claimed**:
   The VAT credit claimed is **equal to the VAT deposited**, and there is no duplication or excess claim. The reporting format aligns with Mushak forms and NBR guidelines.

Conclusion
In view of the above substantiation shared, we respectfully request the withdrawal of the show cause notice, as the VAT treatment and reporting were done in accordance with the provisions of the VAT & SD Act, 2012 and relevant rules. We remain committed to full compliance and are available for any further clarification.

Sincerely,
[Authorized Signatory]
ABC Bangladesh Ltd.

Answer to the Question# 6(b)(i):

Calculation of Output VAT/Specific Tax Payable:

1. **Local Sales (applying Specific Tax):**
   - Quantity: 4,000 metric tons
   - Specific Tax Rate: BDT 1,700 per metric ton
   - Specific Tax Payable: 4,000 MT * BDT 1,700/MT = **BDT 6,800,000**
2. **Export Sales (Zero-rated):**
   - Quantity: 500 metric tons
   - Export Price: BDT 65,000 per metric ton
   - VAT Rate: 0% (Zero-rated as per Section 23(1) read with Section 2(82) of the VAT and SD Act, 2012, given proper documentation is maintained).
   - Output VAT on Exports: 500 MT * BDT 65,000/MT * 0% = **BDT 0**

Total Output VAT/Specific Tax Payable for October 2025 = BDT 6,800,000 + BDT 0 = BDT 6,800,000

Answer to the Question# 6(b)(ii):

Input Tax Credit Eligibility under Current Practice:

Star Limited is **partially eligible to claim Input Tax Credit** for October 2025 under its current practice.

- **Justification:**
  - Section 46(1)(l) of the VAT and SD Act, 2012, explicitly states that "input tax credit shall not be taken in respect of any supply in which the rate of output VAT is less than the standard rate except for the case of export."
  - In Star Limited's current practice, while its local sales are subject to a specific tax (which is less than the standard 15% rate), its export sales are zero-rated.
  - Due to the export exception in Section 46(1)(l), Star Limited can claim input tax credit *attributable to its zero-rated export supplies*. Input tax attributable to the local sales subject to specific tax would remain ineligible.
  - Therefore, Star Limited is eligible for partial input tax credit, specifically for the inputs used in producing the goods that are subsequently exported.

Answer to the Question# 6(b)(iii):

Recalculation of net VAT liability assuming Standard-Rated VAT @ 15% on Local Sales:

Star Limited

Computation of net VAT payable for the month of October 2025

Particulars	Note	Base Value (BDT)	SD (BDT)	VAT(BDT)
Supply – Output Tax				
For local supply of goods	1	243,478,280	-	36,521,742
For supply of goods at "Zero" rate (Direct Export) (BDT 65,000 * 500)		32,500,000	-	-
Total Output Tax (A)		**275,978,280**	**-**	**36,521,742**
Purchase – Input Tax				
Import of Rerollable Scrap Iron	2	250,000,000		37,500,000
Electricity Charges	3	1,000,000		50,000
Purchase of Furnace Oil	4	2,000,000		200,000
Purchase of Machinery Spare Parts	5	300,000		45,000
Audit & Advisory Services	6	150,000		22,500
Total Input Tax (B)				**37,817,500**
Increasing Adjustments (VAT)				
VAT payable on Head Office Rent	7			30,000
Total Increasing Adjustments (VAT) (C)				**30,000**
Decreasing Adjustments (VAT)				
Advance Tax paid at import stage	8			5,000,000
Total Decreasing Adjustments (VAT) (D)				**5,000,000**
Net VAT Payable/ (Refundable) (E = A-B+C-D)				**(6,265,758)**

Note 1: Determine Local Sales Value (excluding VAT) and Output VAT @ 15%

- Gross Price (including VAT): BDT 70,000 per metric ton
- Since this includes 15% VAT, then Base Value = Gross Price / 1.15
- Base Value per MT = BDT 70,000 / 1.15 = BDT 60,869.57 (approx.)
- Total Local Sales Base Value = 4,000 MT * BDT 60,869.57/MT = BDT 243,478,280
- Output VAT @ 15% on Local Sales = BDT 243,478,280 * 15% = **BDT 36,521,742**

*(Alternatively: 4,000 MT * (70,000 - (70,000/1.15)) = BDT 36,521,739.13, slight rounding differences are acceptable)*

Note 2: Rerollable Scrap Iron (Imported):

- VAT Paid: 5,000 MT * BDT 7,500/MT = BDT 37,500,000
- Eligible Input VAT: **BDT 37,500,000**

Note 3: Electricity Charges:

- Value: BDT 1,000,000
- VAT @ 5%: BDT 1,000,000 * 5% = **BDT 50,000**

Note 4: Furnace Oil:

- Value: BDT 2,000,000
- VAT @ 10%: BDT 2,000,000 * 10% = **BDT 200,000**

Note 5: Machinery Spare Parts:

- Value: BDT 300,000
- VAT @ 15%: BDT 300,000 * 15% = **BDT 45,000**

Note 6: Audit & Advisory Services:

- Value: BDT 150,000
- VAT @ 15%: BDT 150,000 * 15% = **BDT 22,500**

Note 7: VAT on Head Office Rent:

In accordance with section 2(18Ka) of the VAT & SD Act, 2012, Office Rent is not considered as "Input" and hence Input tax credit is not eligible.

Note 8: Advance Tax

- BDT 1,000/MT * 5,000 = **BDT 5,000,000**

7. a) Provide your responses to the following cases in accordance with the Customs Laws applicable in Bangladesh:

i) A company imports solar panels under an SRO that exempts CD (25%) and SD (20%) but not VAT or AIT.
   - CIF value: Tk.1,000,000
   - RD:3%, VAT: 15%, AIT: 5%,

   Requirement:
   Calculate total duties & taxes payable amount based on the information provided, and how much cost is saved due to the SRO? 2

ii) An importer declared goods at Tk.800,000. Customs revalue it at Tk.1,000,000.
   - CD: 25%, RD: 3% SD: 30%, VAT: 15%, AIT: 5%
   - Penalty: 50% of the difference in duties and taxes due to undervaluation

   Requirement:
   Based on the information provided, calculate the total penalty and revised duties & taxes payable. 2

iii) A bonded warehouse imports raw materials worth Tk.5,000,000 duty free. Upon audit, 20% of the goods are found diverted to the local market.
   - Applicable duties: CD 15%, SD 10%, VAT 15%, AIT: 5%.
   - Penalty: 100% of evaded duties & taxes

   Requirement:
   Based on the information provided, calculate the total duties & taxes and penalty payable. 2

iv) Under HS Code heading for non-alcoholic beverage, the following duties & taxes apply:
   - CD: 25%, RD: 3%, SD: 100%, VAT: 15%, AIT: 5%, AT: 5%
   - CIF value: Tk.2,000,000

   Requirement:
   Calculate the total duties & tax payable and effective duty rate excluding recoverable VAT and AIT considering the organization will follow credit method under VAT laws. 2

b) According to Clause (Ka) of Rule 3 of the Customs Valuation (Determination of Value of Imported Goods) Rules, 2000, the value of imported goods shall be the Transaction Value. Further, under Clause (Kha) of the same Rule, if value cannot be determined under Clause (Ka), then value must be determined using the methods described in Rules 5, 6, 7, 8, or 9 sequentially.

Following table depicts details of an import made by "ABC Engineering Ltd." during the month of November 2025.

Sl.	Particulars	Amount (USD)
1.	Price of the machine (FOB Value)	$ 20,000
2.	Freight charges to Chittagong Port	$ 2,500
3.	Insurance premium	$ 250
4.	Landing Charge	1% of CIF
5.	Buying Commission paid to an agent in Germany	$ 500
6.	Cost of packing and containers (incurred by buyer)	$ 400
7.	Engineering and Design work undertaken in Bangladesh	$ 1,000
8.	Royalty fees related to the imported goods (condition of sale)	$ 1,500
9.	Post-importation installation charges in Dhaka	$ 800

Requirements:

i) Briefly list these methods of valuation in their correct order of application. Under what condition can this order be reversed? 3

ii) "ABC Engineering Ltd." imported a specialized machine from USA. Based on the provided data, calculate the Assessable Value (Customs Value) for the purpose of levying duty. You must provide reasons for the inclusion or exclusion of each cost element based on Rule 4 and Rule 10 of the Valuation Rules, 2000. 5

Answer to the Question# 7(a)(i):

Calculation of Assessable Value:

Component	Calculation	Amount (BDT)
A. CIF Value		10,00,000
B. Landing Charges	A × 1%	10,000
Assessable Value	(A + B)	10,10,000

SRO Based Exemption Impact

Regular duties and taxes				SRO based Exemption	Actual duties and taxes		
Tax types	**Tax base (BDT)**	**Rate**	**Duty**		**Tax base (BDT)**	**Rate**	**Duty**
CD	1,010,000	25%	252,500	252,500	1,010,000	-	-
RD	1,010,000	3%	30,300		1,010,000	3%	30,300
SD	1,292,800	20%	258,560	258,560	1,040,300	-	-
VAT	1,551,360	15%	232,704		1,040,300	15%	156,045
AIT	1,010,000	5%	50,500		1,010,000	5%	50,500
			824,564	**511,060**			**236,845**

Total duties and tax Payable = BDT 236,845
Savings from SRO = BDT 511,060

Answer to the Question# 7(a)(ii):

Revaluation and Penalty Scenario

Declared Value = BDT800,000
Revalued Value = BDT1,000,000
Difference = BDT200,000

Duties on Difference:

Tax types	Tax base (BDT)	Rate	Duties and taxes payable (BDT)
CD	200,000	25%	50,000
RD	200,000	3%	6,000
SD	256,000	30%	76,800
VAT	332,800	15%	49,920
AIT	200,000	5%	10,000
			192,720

Total Additional Duty = BDT 192,720
Penalty (50%) = BDT 96,360

Answer to the Question# 7(a)(iii):

Bonded Warehouse Misuse

Total Import = BDT5,000,000
Diversion (20%) = BDT1,000,000

Duties on Diverted Goods:

Tax types	Tax base (BDT)	Rate	Duties and taxes payable (BDT)
CD	1,000,000	15%	150,000
SD	1,150,000	10%	115,000
VAT	1,265,000	15%	189,750
AIT	1,000,000	5%	50,000
			504,750

Total Duty and taxes = BDT 504,750
Penalty (100%) = BDT 504,750
Total Payable = BDT 1,009,500

Answer to the Question# 7(a)(iv):

Calculation of Assessable Value:

Component	Calculation	Amount (BDT)
A. CIF Value		2,000,000
B. Landing Charges	A × 1%	20,000
Assessable Value	(A + B)	20,20,000

HS Code Based Specific Duty

Tax types	Tax base (BDT)	Rate	Duties and taxes payable	Recoverable duties and taxes (BDT)
CD	2,020,000	25%	505,000	-
RD	2,020,000	3%	60,600	-
SD	2,585,600	100%	2,585,600	-
VAT	5,171,200	15%	775,680	775,680
AIT	2,020,000	5%	101,000	101,000
AT	5,171,200	5%	258,560	258,560
			4,286,440	**1,135,240**

Total duties & taxes = BDT 4,286,440
Recoverable = BDT 1,135,240
Total duties excluding recoverable VAT, AIT and AT = BDT 4,286,440 – BDT 1,135,240 = BDT 3,151,200
Effective Tax Rate = (BDT 3,151,200 / BDT 2,020,000) × 100 = 156%

Note: VAT and AT are recoverable under the VAT and SD Act, 2012, while AIT is recoverable under the Income Tax Act, 2023.

Answer to the Question# 7(b)(i):

Hierarchy of Valuation Methods (Rule 3)

Correct Order of Application:

1. **Transaction Value of Identical Goods (Rule 5):** Value of identical goods sold for export to Bangladesh.
2. **Transaction Value of Similar Goods (Rule 6):** Value of similar goods sold for export to Bangladesh.
3. **Deductive Value (Rule 7):** Value derived from the resale price in Bangladesh, deducting local costs, duties, and profits.
4. **Computed Value (Rule 8):** Value calculated based on cost of production, profit, and general expenses.
5. **Residual/Fall-back Method (Rule 9):** Value determined using reasonable means consistent with the principles of these rules.

Condition for Reversal:

According to the proviso in Rule 3, the order of application between Deductive Value (Rule 7) and Computed Value (Rule 8) can be reversed (i.e., applying Rule 8 before Rule 7) upon the request of the importer and with the approval of the Commissioner of Customs.

Answer to the Question# 7(b)(ii):

Calculate Assessable Value and provide reasons based on Rules 4 & 10.

1. Determination of CIF Value:

Component	Treatment	Amount (USD)	Reasoning (Rule 4 & 10)
Price of machine (FOB)	Include	$ 20,000	Rule 4: Transaction value (price actually paid or payable).
Buying Commission	Exclude	-	Rule 10(1)(a): Buying commissions are specifically excluded from the transaction value.
Packing & Containers	Include	$ 400	Rule 10(1)(b): Cost of packing incurred by the buyer is a mandatory addition.
Engineering (in BD)	Exclude	-	Rule 10(1)(b)(d): Engineering/design work is only added if undertaken elsewhere than in Bangladesh.
Royalty Fees	Include	$ 1,500	Rule 10(1)(c): Royalties related to the goods paid as a condition of sale must be added.
Post-import Installation	Exclude	-	Costs incurred after importation are not part of the Customs value (Rule 4).
Total Adjusted FOB		$ 21,900	
Freight	Include	$ 2,500	Rule 10(2): Cost of transport to the port of importation.
Insurance	Include	$ 250	Rule 10(2): Cost of insurance.
CIF Value		$ 24,650	(Cost, Insurance, and Freight)

2. Calculation of Assessable Value:

Component	Calculation	Amount (USD)
CIF Value	(Calculated above)	$ 24,650
Landing Charges	1% of CIF ($24{,}650 \times 1\%$)	$ 246.50
Assessable Value	CIF + Landing Charges	$ 24,896.50

---The End---